



FY13 and FY20, domestic passenger traffic in a year, at a CAGR of 13.6%

our pilot rosters and there was not enough resilience to withstand injects that we would otherwise have weathered. We could and should have planned better,” he said.

The depleted pool of flights for a peak season like summer has led to airfares shooting up by at least 10-15%, say industry watchers. Experts feel that such situations can be avoided if the ecosystem can keep pace with the steady growth in passenger traffic.

That is what the government wants as well. In January, Civil Aviation Minister Jyotiraditya Scindia stressed upon the government’s aim to boost India’s avia-

tion market. At Wings India 2024 in Hyderabad—a four-day event to showcase the country’s progress in aviation—the minister shared the government’s plans for the sector, from increasing the number of airports in the country to 200 by 2030, while growing passenger traffic to 300 million a year. “We are not only focussing on airplanes and airports, but the development and enhancement of building a holistic airline ecosystem that has strong roots across the value chain. As part of this vision, we have doubled the number of airports in the country in the past nine years, increasing from 74 in 2014 to 149 now,” he said at the event.



“It has been a challenging start to the new financial year...We were stretched on our pilot rosters and there was not enough resilience to withstand injects that we would otherwise have weathered”

VINOD KANNAN
CEO, VISTARA, IN AN EMAIL TO EMPLOYEES

Two months later, Air India CEO Campbell Wilson reiterated Scindia’s point. Speaking at an industry event in Gurugram in late March, Wilson said that the airline industry in India is growing so fast that the country could support at least one more international hub besides Mumbai and Delhi. “There aren’t many other markets like India in the world. Northern India has a good east to west flow, while southern India can offer an Asia to Africa or Australia-Europe flow,” he said.

The optimism over India’s civil aviation sector is reflected in the airlines’ preparations for the future. In anticipation of the surge

in passenger traffic, leading players have placed large orders with aircraft manufacturers Boeing and Airbus. Last year, IndiGo placed an order for 500 aircraft from Airbus, in addition to its earlier order for 480 planes. After the Tata group’s acquisition of Air India, the carrier ordered 470 planes from Boeing and Airbus, while Akasa Air placed an order for 200 aircraft with Boeing. In total, Indian carriers have placed orders for well over 1,600 aircraft that are expected to be delivered over the next decade.

Both experts and industry players continue to bet on growing passenger traffic. Between FY13 and FY20, before the Covid-19

pandemic disrupted the market, domestic passenger traffic in India had grown at a CAGR of 13.6%—from 57.9 million a year to 141.2 million. Since the pandemic, passenger traffic has bounced back to 136 million in FY23, and industry estimates suggest that it may have crossed the previous high in FY24. The question some experts ask, though, is whether this will sustain. And if it does, and new aircraft deliveries happen only over the next few years, there seems to be no respite for the industry and passengers in the near term. **BT**

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